Portfolio Information

1. PR Convergence 248c

- This portfolio centers on **Price Ratio Convergence** for pairs of assets evaluated over a **248-day (annual) timeframe.** It focuses on convergence trades—instances where pairs with a Price Ratio Z-score at the extremes (like 3 standard deviations) are expected to converge back to the mean (e.g., 2 or 1 standard deviation). Convergence portfolios aim to capture returns as these ratios return to equilibrium levels, betting on a reversion to the average price ratio.

2. PR Divergence 248c:

- This portfolio deals with **Price Ratio Divergence** over the **248-day candle** period. Divergence trades are executed when price ratios shift from one standard deviation (SD) level to a higher level (e.g., from 1 to 2 or 2 to 3 SDs), indicating a belief that the spread between the assets will widen further. This strategy suits traders betting on continued momentum in price movements that push the assets further apart rather than reverting.

3. FV Convergence 248c

- The **Fair Value Convergence (FVC) 248c** portfolio targets trades based on the convergence of fair value (calculated through regression analysis) over the **248-day period.** This approach uses Z-scores calculated from fair values, aiming to capture returns as assets revert from extreme valuation deviations back to expected levels, consistent with the hypothesis that price ratios will revert to fair valuations.

4. FV Divergence 248c

- The **Fair Value Divergence (FVD) 248c** portfolio involves trading on **fair value divergences** over a **248-day period,** where fair value Z-scores suggest further divergence rather than mean reversion. This strategy operates under the assumption that assets with high Z-scores may continue to diverge in value, and the trade aims to benefit from the widening spread.

5. Financials - PRC 248c

- This portfolio is specialized in **Price Ratio Convergence within the financial sector** over **248-day candles.** It applies convergence strategies exclusively to pairs in financials, capturing opportunities where relationships between financial sector assets (e.g., banks, insurers) revert to historical norms. This sector-focused approach takes advantage of financials' unique correlation patterns, regulatory impacts, and market behaviours.

6. Financials - FVC 248c

- This portfolio targets **Fair Value Convergence for financial sector pairs**, utilizing a **248-day period.** By focusing on fair value reversion in financials, this approach incorporates fair value assessments within a sector prone to valuation swings influenced by macroeconomic factors. This portfolio aims to profit as assets converge to a sector-appropriate fair value.

7. Pharma - PRC 248c

- **Pharma Price Ratio Convergence** with **248-day candles** focuses on pairs within the pharmaceutical sector, employing a convergence strategy based on the premise that pharma pairs will revert to their mean ratios. This portfolio considers the unique dynamics of pharma

stocks, including regulation, patent cycles, and R&D impacts, positioning for expected reversion in this sector.

8. Pharma - FVC 248c

- The **Pharma Fair Value Convergence** portfolio uses **248-day candles** to find reversion opportunities for pharma pairs based on fair value Z-scores. This portfolio captures sector-specific dynamics and regression-based residual values, betting on pharma stocks returning to fair valuations influenced by long-term R&D, regulatory changes, and market expectations.

9. Commodities - PRC 248c

- Focused on **Price Ratio Convergence in commodity pairs** over **248-day candles**, this portfolio is designed for assets in the commodities sector. It anticipates mean reversion in commodity prices, such as metals or energy assets, and is built to capture pricing dynamics driven by supply-demand fundamentals and external economic factors.

10. Commodities - FVC 248c

- This portfolio applies **Fair Value Convergence in commodities** over **248-day candles**. By utilizing fair value Z-scores, the strategy targets trades where commodity pairs are expected to revert to fair values, often influenced by factors like seasonality, geopolitical issues, and supply chain disruptions in the commodities market.

11. PR Convergence 48c

- The **Price Ratio Convergence 48c** portfolio focuses on **shorter-term convergence strategies** over **48-day candles**. This portfolio is designed to capitalize on quicker, more frequent mean reversion trades, capturing smaller, shorter-lived deviations in price ratios. The 48-day period suits traders looking to manage shorter holding periods and respond to more frequent price adjustments.

Each of these portfolios is tailored to specific convergence/divergence strategies, sectors, and timeframes, catering to different trading objectives and holding periods. By distinguishing these portfolios, investors can strategically align their positions to match market conditions and asset-specific behaviours.